



Joe Staib - 00:03

Hello. Hello.



Michael Byers-Norton - 00:05

Hey, guys. Just you, me and the A.I. Overlords.



Leo O'Loughlin - 00:10

Yeah, just you, me and A.I.



Michael Byers-Norton - 00:12

I guess the way it is.



Leo O'Loughlin - 00:16

I saw.



Michael Byers-Norton - 00:16

That's a good word.



Leo O'Loughlin - 00:17

I saw the third square come up and I thought that might have been Tucker, so I. Good word. Yeah, it all's good on the western front, as they say.



Michael Byers-Norton - 00:26

Excellent. I like to hear.



Leo O'Loughlin - 00:29

We actually are on the Western. I'm on the western front, so I.



Michael Byers-Norton - 00:32

Can actually say that about to make that joke too. I'm like, pretty sure that actually works. So it's awesome. That's right.



Leo O'Loughlin - 00:42

Exactly. Exactly. How are things in your world.



Michael Byers-Norton - 00:47

Going? Great, to be honest with you. Like, it's. Everything's coming together in a really exciting way right now, so. So it's just trying to enjoy the ride, to be honest with you.



Leo O'Loughlin - 00:57

That's good. You can enjoy. You're doing pretty well.



Michael Byers-Norton - 01:02

Yeah, that's the attempt anyway, so that's the goal, so.



Leo O'Loughlin - 01:05

Yes, that's right. The ride is. Hey, Tucker. The ride's a exciting and bouncy one. That's my experience, but it's all good.



Michael Byers-Norton - 01:16

Strikes and gutters, baby. Strikes and gutters. Strikes and gutters. Good to see you, Joe.



Joe Staib - 01:22

How you doing? Good, how are you? How you been?



Michael Byers-Norton - 01:26

Doing Good, man. Running fast, losing hair. It's great. So, yeah, I'll leave it.



Joe Staib - 01:33

Really good. You're in the present tense. I'm in the past tense on the lose. Losing hair. It's lost. Yeah.



Michael Byers-Norton - 01:40

Thank you. Money to take a vacation to tucker. It'll be great. Excellent. But definitely appreciate you guys coming together, man. I know it's a. A short call, but definitely look forward to trying to find time to catch up properly as a. As our dance cards enable, if they enable. So. Yeah, no, it's good.



Leo O'Loughlin - 02:01

Thanks for your help on. Just give you a 30 second update on Flex before we get into other topics. You know, were awarded the loss. So, you know, we submitted the program for 16 sites. It's not entirely clear to me that they ever had corporate buy in on doing 16 of these at once or at least awarding 16 of them at once. Be that as it may, we got the first award, which was the two sites in Vegas. They then issued an RFP for just Fort Lauderdale for two sites in Florida. So we're going to submit on that here in a few days. But the Vegas one, that assessment is underway. They never commented in any way, shape or form on any of the stuff that we submitted on all the value add stuff.



Leo O'Loughlin - 02:52

I think I sent you an email as an update on that and that hasn't changed. So a little bit disappointing to me on, you know, on that front, but here we are, we're winning the work that's coming out and we hope to continue to win Florida and any subsequent sites. I think the, one of the things we may want to consider on Las Vegas, which appears to be a very interesting two site campus with some pretty interesting decisions that they have to make. They have a lease that expires at the end of next year. They've got properties that probably can't as they are today and in that region. Based on the call yesterday, they don't really think that liquid cooling is a real viable product in that marketplace. They said we'll have to unpack that more as we go to the site.



Leo O'Loughlin - 03:46

But they're not super keen on trying to do liquid cooling at that site. They are super cool on trying to make those sites sing as best as possible. And it may involve potentially moving one of the data centers, all that load over to another one, to the neighboring one and then you know, basically restacking that vacant data center and then maybe you could do liquid cooling there and basically recast that as a new state of the art facility. All that's kind of, all that's kind of pie in the sky stuff right now, but those are the types of things that we're going to want to delve into a little bit, at least start to unpack. In our assessment, all that is a prelude to what I'm about to say, which is it might be nice to incorporate some of your SME input.



Leo O'Loughlin - 04:37

You know, maybe it's a half day or a day or something like that, whatever, to kind of help us with that storyline and that messaging. You know, they didn't bite on the networking thing and, or, or the bigger financial pro forma, you know, strategy that we laid out. But the networking, you know, we're on a call with them yesterday. One of the

things they talked about was how the sites aren't set up that grade from a networking configuration today. And they're talking about it's a bunch of money to tunnel from one building to another to make it more robust from a marketplace perspective. We didn't get into it in much detail and if they had, I wouldn't have understood it anyway. But I, I don't know, I'm open to ideas.



Leo O'Loughlin - 05:24

I kind of feel like after that call yesterday, I kind of feel like, man, I want to send them a note and just say, hey, we'd like to help peel back the onion a little bit on that. Anyway, I'm getting in the weeds. I think the takeaway is. The takeaway is it might be nice to incorporate some of your help just on an hourly basis to help us kind of, you know, look at what we've cooked up for the assessment, look at the financials, just bring another set of SME eyes into it and say, hey, you know, did you guys think about this? And you're missing that and, you know, so forth.



Michael Byers-Norton - 05:56

So anyway, that's just. I'm gonna use that to launch it into our spiel here in a minute too. Okay.



Leo O'Loughlin - 06:03

All right.



Michael Byers-Norton - 06:04

If you look at the response you got for those two Vegas sites, and what do you want to bet to be the same response? Fort Lauderdale, you're dealing with the operations side of the coin now. Focus on the facility. So strategic value, company value isn't in the scope and discussion, but you and I know it's floating as another department, another item in the background. And I want to make sure that, you know, I've armed you effectively to be able to have enabled step into those shoes to help those discussions. So when you do that gentle poke, like, you know, the audience is going to be waiting for it, and to a degree, or, you know, it's an item circling around.



Michael Byers-Norton - 06:40

But coming from that color side of groups like Flex, it's one of those hot potatoes a lot of groups don't want touch until they have to type of moment. So it's either the product team will have to absorb it as a problem or the sales team will be pushed to absorb it as a problem to fix. Networking for a client, like, it's just interesting to feel it out.

But if you're also looking at that divestiture play or that site optimization play between two sites in Vegas, for example, that will eventually open a door to talk to the right people. I just want to make sure you're ready to walk through that door. So anything we can provide to help with that, like, just use us as a member of the ENABLE team, we'll figure out everything behind the scenes.



Michael Byers-Norton - 07:14

But keep prying at that because that part of the world's not going away. Like, that's going to be a very real thing for a while.



Leo O'Loughlin - 07:21

Yep, agreed on all of that. So let me think about how the. Because I agree with you. The people on the calls are not the.



Joe Staib - 07:31

We know.



Leo O'Loughlin - 07:32

We've gotten an introduction and Joe and I had a great discussion with one of the. The senior leaders on the brain side of figuring out what to do with these properties. And so he's right in the intersection of dealing with the private equity investors that support all of Flex's, you know, everything. And he's marrying that with all the operations people and their asks for money and what to do with these sites. And so we know the right audience. And, and maybe he's, I don't know, maybe he's the one to ask about, hey, you know, this networking thing came up. We want to help you in any way we can. And we mentioned this in the rfp.



Michael Byers-Norton - 08:15

It was crickets, of course.



Leo O'Loughlin - 08:18

I don't know, Joe, maybe you and I can talk about that with the group. I just, I just, I hear them,.



Michael Byers-Norton - 08:24

You know, I hear the operations guys.



Leo O'Loughlin - 08:26

Saying there's a big nut to crack on the networking side. And then at the same time, we're talking about maybe shutting down a data center and moving it over to the other one and repositioning a data center. So, I mean, it's getting grandiose quickly, Michael, is I guess what I'm saying. And it's more beyond just the, you know, the assessment of, hey, I got to replace those generators in year eight and it's going to cost \$3 million. We've got to do that piece. But Joe and I are really zeroed in on how can we blow the socks off these guys on the posturing of these properties and the visioning of what to do after this lease ends.



Michael Byers-Norton - 09:04

So anyway, you nail it. Well, it's just right in that way of like when you look at a site like the one that they're considering moving out of, for example, like they're going to be faced with different options, you know, from a, we can densify the site to blow it out for a new client. That's a lot of money put to work. We can let the assets sit as it is and potentially try to scrape new revenue into it, which there's a group I need you guys to know about. Let me put it in the chat here. That is part of like thesis that's floating around. And I think if you revisit some of your previously reviewed sites, their name might pop up. But this is a group who's trying to come in and just consume stranded power. So keep the facility operating.



Michael Byers-Norton - 09:44

They'll just come in and drop in two taps at their electrical room level, make sure that they're in alignment from a phase and usage perspective, and then deploy modular compute in a very small increment of power comparatively, to be able to monetize that remaining capacity. So it's a non capital intensive way to just get a short term lease, but it's straight profit essentially. Like it's just a straight lease rate for parking lot space and power infrastructure access. So that's like a path number two. A path number three that's coming up is the one that's kind of leading me into our discussion. One of our friends is putting together an asset management company where they want to buy sites that are at that distressed point where they need to upgrade their 8 megawatts of generators, for example, and they can't.



Michael Byers-Norton - 10:27

And so they can keep the facility operating as a data center and this group would simply take over ownership and operations of it. And even if Flex needs to keep it as an active site, it can turn into a sale leaseback type of scenario to keep Flex branded as operationally there and not changing their contract with their tenants, it just shifts to a triple net lease instead of being on their books as an ownership item that they have to upgrade all the equipment on. So it's like an interesting third avenue going. That is something that's popping up a bit more on these super small and enterprise type of sites that we're here to discuss.



Joe Staib - 10:59

Data center as a service effectively. Yeah.



Michael Byers-Norton - 11:02

Shifting it from a on your books capitalized to just being an OPEX type of play. And depending on how they're manipulating their EBITDA and niplulating their value at the proper like full strategic level of whoever's steering Flex Central as a platform, they'll be thinking of those options depending on if they're trying to go public or they're trying to sell the company or they're trying to do another raise. Like they're going to be reflecting all those items. And those are also the items that they have to reflect on if they want to invest in network because network's a different return than data centers are. And it gets kind of murky on revenue generated from those dark fiber cross connects versus revenue generated from space and power leases. So it's a. You're quickly getting to that executive strategic frame of making.



Michael Byers-Norton - 11:46

Enable is beautifully positioned for that densification route. But if they're not going to go the densification route, what cards does Enable want to be involved in is kind of the identity item for Enabled as well. And so it's a. I think it's a great account to be working on because I know this is a very common thing in the colocation space right now. Like it's a. It's an industry or market that's rapidly emerging and maturing. So it's a lead on us, abuse us. We're happy to be working in that realm because there is a lot of fun to be had there. But we're just arming ourselves with different routes to go as you start to see what Flex Central wants to do or groups like them wants to do. But that brings us to chaotic world that we're in right now.



Michael Byers-Norton - 12:29

So this all started out recently when Tucker came into the mix. We bonded very quickly and heavily on optimization

of total cost of ownership, mesh networks, data center optimization, resiliency optimization, and just really trying to make the best infrastructure investment opportunities and end user services opportunities for the space. So everything that we've been talking about as a group for the past year, you know, Tucker and I dove into aggressively and saw the potential here. We brought this up with one of our power consultants out of Utah who is trying to figure out, like how we all work together to go after projects together. And we brought up of, hey, we could be duct taping together 10, 20, 30 of these carrier sites into something ready to acquire or something to build on.



Michael Byers-Norton - 13:15

And he's like, I think I have users that would love to hear about that because like a week later. And he's like, hey, I got three people who would love to talk to you right now, like aggressively tell us what you got. And so that was a, oh, okay moment. Let's pause and slow down here a little bit because thesis got a bite a week later. One of my clients I'm supporting right now is a venture management fund out of Chicago trying to put like, it's like 250 million to work across the industry. So they're joint venturing on projects, they're backing projects, they're really just trying to be quick, nimble in and out, support their family offices and chase things. I brought up the same concept of, hey, are we going after small sites and volume? Are we going after mass sites?



Michael Byers-Norton - 13:56

Well, one of their partners who's doing 100 megawatt developments is like, I have a 2 megawatt site right now that people are bidding against each other to acquire. Like, there's a market emerging for these smaller sites that can be connected with dark fiber to each other, and it's happening in exact pieces. I've been bullshitting with wavelengths being the critical economic driver for them. Well, it's now the Nvidia D link, that backplane wavelengths platform built into the AI clusters and pods. Well, if I can get sites that are Close enough distance to those, talk to each other, they act as one data center. That market is here, it's emerging as we speak. So that investor gave me two different encouragements.



Michael Byers-Norton - 14:39

One, hey, if you put together something that wanted to go buy and develop 10 of those sites, like a cluster of them, we're interested, talk to us. And so that's a much more of an owner, operator, proper investment effort that we know how to structure and do very well. But that would be one where we need a ride with enabled on it. We need that facility assessment, we need the engineering densification plan. We need to decide is this going to be a site we densify and use the shell, or we say no, we go to the modular in the parking lot play. So that's reoccurring real project type of revenue coming in.



Michael Byers-Norton - 15:11

The other route, which is the one that caught me off guard, is like, hey, why don't we just treat this as a divestiture play where we bundle 200 to 500 of these sites together and force one big investor to buy all of them at once. And the investor I'm working with has experience doing that type of structure from the oil and gas space, selling a

bunch of oil wells and rights to, you know, ground leases in a bulk manner. If 200 of those succeed as great profitable sites, 300 of them can be busts. But he knows how to sell that in bulk. So it brings us back to a unique time here. The ability to help carriers help themselves is the ask at hand.



Michael Byers-Norton - 15:52

You like when we worked in the Lumen project, they had a goal, they had some funding to engage, enable to help with that effort. I'm running into other carriers now who it's the same thing as Tuxential. This is an ops team who doesn't know what the hell they're doing. They've been yelled at to solve a problem, but they don't have a budget. We need to step in and help themselves. And that's kind of what Tucker and I've been starting to put together as the bones for that investment. If went and raised 2 to 6 million, that gave us diligence potential for all these sites to complete an enabled scope and a power audit scope and a title survey scope.



Michael Byers-Norton - 16:26

So now we can bundle those sites to move either internally to a smaller edge company that we're owning and operating or to a large portfolio exit that moves things in bulk. We gotta go after it. Like the opportunities there, the investors are there, the demand is there, everything is kind of coming to Alignment. And so that's the hey, we need to talk again to see how we can potentially like is there an opportunity to re kick these doors with the lumens and horizons of the world and knowing that we're not trying to put that speculative work on to enable like we want that speculative work and we want to be able to know how to position or at least budget for the enabled costs per site. So that way there's something in it for your current platform.



Michael Byers-Norton - 17:08

And then discuss do we want to work together how we would work together on either that build owner and operate or on the divestment big bulk manner type of approaches. That's the high level like kicking the pants we've had this month of people like I should send you the text of them freaking out on me like dude we're ready now. We have investors now, we have demand now what are you doing?



Joe Staib - 17:28

We talked an hour ago. Why haven't you responded?



Michael Byers-Norton - 17:32

The sales guys man, they're just on it right now. They smell it and they're just going for it. But it's, that's where we're

sitting in our current world. So that's the update I wanted to throw at you guys and overwhelm in a ten minute rant there.



Joe Staib - 17:44

But it's exciting. I'm curious about.



Michael Byers-Norton - 17:51

The.



Joe Staib - 17:54

If you had to pick either one of those trains to ride, which one would you do? Or planes to fly or rockets to fly, which would you do?



Michael Byers-Norton - 18:01

Michael, the quick flip is incredibly interesting because that's an opportunity that's never going to come back around again. Right. Like that's a carrier is needed the best because of technological upgrades. They don't know how to divest because they're telco.



Leo O'Loughlin - 18:14

Right.



Michael Byers-Norton - 18:15

And some of them need to keep operating. So they need an off taker that can structure triple net leases or structure sale leasebacks. Make it happen so that you work.



Joe Staib - 18:24

With oil man and he, he's the money behind us to get this done. Yeah.



Michael Byers-Norton - 18:32

For that big portfolio play like it would basically we get control and he just stops right there. You minimal audits and investments per site and just tries to move it as a quick asset play. Yeah, that's the immediate pressure.



Joe Staib - 18:44

Okay.



Michael Byers-Norton - 18:45

The small modular world is the one that Tucker and I are obsessively researching right now because we have to know that's not hot air and bullshit because that market's emerging in real time. But if that's there, we have an asset management org who wants to just own and operate the site from a triple net lease and we can drop in that additional capacity to get real lease revenue off of that. That's the, let's just baby step into it. Start with one cluster of sites, do that ourselves. Don't open, don't bite off too big a chunk if that makes sense. If we can actually get that math going in that solution fitting then we'd actually do a proper push on that effort. But for right now it's just trying to be doing the normal powered land thing.



Michael Byers-Norton - 19:25

Find a way to get control of the sites, make sure they're good investments, figure out what to do with them. At that point is where we are currently.



Joe Staib - 19:33

Do you need capital to do that? We would.



Michael Byers-Norton - 19:36

And then so we're putting together those budgets right now figuring out how many sites to chase at once because I've.



Joe Staib - 19:41

Got, I've got very friendly family office capital that's waiting and a couple of other companies that are really interested in working in that capacity with enabled energy. So I think if there's a, I mean we'd have to put the pro forma together in that regard. Again if we collectively get to a place where is a that. So one of them is a flip and the other one is, I mean you're jumping into becoming a data center operator effectively.



Michael Byers-Norton - 20:16

But what's super interesting right now is that we're seeing especially with this fund I'm working with out of Chicago, they have two end users so modular data center builders and operators that come with pre baked chip off takers. So they're basically, they'll just drop in, we'll get a triple net ground lease on it and get out a triple net or a ground lease on it. So it's a very small margin compared to us needing to put \$10 million in megawatts of work. They'll take care of all of that. We just need to control the site and the power and enable them to move in.



Michael Byers-Norton - 20:47

And so that's the, that's where we're trying to find out the proper pro forma there of are we trying to work with family offices to just be smart with our capital which is great land lease it to somebody else who will own and operate the data center or are we trying to actually put you know, nine figures to work in which case we're going to be buying those modular units like buying a vertive modular data center or something. Something that's pre credentialized for an off taker that we can know is credit worthy and going that route instead. Yeah, but that's more work than the four of us can take together right now. Like we would need to be a little bit smart there. But we have enough friends around us trying to build these small data centers.



Joe Staib - 21:26

That's right.



Michael Byers-Norton - 21:27

We just got to enable the capacity.



Joe Staib - 21:28

That's right. Yeah. Okay.



Michael Byers-Norton - 21:33

But if you have the family office in place, like we're just trying to get. We have thesis together. We're ready to start working on pro formas. I've been putting together a budget. I'm triggering you guys here, but this is my whole goal, triggering you. Like I've been trying to put together a budget on just how to approach these sites from a what does terabyte need? What does our utility resource need to do the audits and travel? What does enabled need? I have no idea what a per site walk in budgetary assessment capacity cost me. Guys need a number there, right? So 10 grand is it 50 grand? Like whatever that cost is, I need to factor it in. And this is not coded right because that's why it's all highlighted in yellow.



Michael Byers-Norton - 22:11

But that just gives me if I'm going after 40 sites, I need 2 million dollar raise or do I need an 8 million dollar raise? Like those are the items I'm putting together at a high level because these venture funds are just trying to say damn, you got something here. What do you need? And that's where I'm like I need to call Joe and Leo and see what do we need here type of moment. But that's like what we're running into. And we have one carrier path we're trying to work right now who brought us clusters in Ohio and Georgia and that's something that they don't know what the hell they're doing. It's going to take time to help them out. We know that from Lumen. They don't know what the hell they're doing. It's going to take the time to help them out.



Michael Byers-Norton - 22:49

But we did the same thing. We looked at Minneapolis. Right. It's exact same play.



Joe Staib - 22:54

Yeah. Let me, let me share for just a. A super fast flyby to just show you where we're at to try and get speed and costs and excellence all. All built in. I guess I need to share screen. I'm going to show you. I'm going to show you five reports that we are working on to just kind of. Let's just use your word trigger. We've got. We've settled in on two. Two reports really? An asset report and a portfolio report. The asset report has Four phases. Sprint is a desktop audit. Sorry, Screener is a desktop audit. Sprint is a feasibility study. And these are stuff we put on the board the last time you were here, Michael. Investment grade audit, we call that scale. And then there's sustain, which is to hold the property. But it's all the same table of contents.



Joe Staib - 23:57

It just get, it just gets more and more evolved as you spend more and more time and more money to, depending on where you want to be on the, on the journey. But they're all going to have the same table of contents. So like if you look at this initial one, this is our screener report. I'll blow, I'll blow it up and then we'll fly by the other ones. So like the title of this one is Screener, the Screener report. And it's for one building. This is the asset report. It's got a posture optimized with growth and it's got a confidence. The asset record conference is 7.6 out of 10. That's that's the mic drop kind of executive summary on this thing. And then you go to this, this index like project initiatives, investment scenario, roadmap not presented because it's a desktop audit.



Joe Staib - 24:52

It's immature. There's not financing here. But directionally we are in a spot to tell you that this thing is a 6, 9 on the next field site in terms of reliability, uptime, growth, top line growth, revenue capacity, bottom line, effectiveness of operations. EBITDA put those three in the blender. It comes out with a next field 6, 9 for a desktop audit that we think we can do in an hour. If somebody's got, if somebody's got sufficient information, that's part one. And so if you kind of scroll through it, this is screener level stuff. It's desktop level stuff. It's all the tables in here will be standard and repeat and grow as the, the information matures. And so now if we look. That was Screener.



Joe Staib - 25:45

If I look at Sprint, you're going to see on this first page, it's like that we're going to start presenting stuff that we didn't present in the past. I think in this one the posture changed. Yeah. Now it's gone from growth instead of, to optimize. The record is now a lot more confident and now we're bringing decision confidence into this thing. So this is the, the stuff that we see like the investors don't know all the Story. The analysts don't know all the story, the operations people don't know all the story. The executive, somebody's got to make a damn call. It's like just look at the report and make, get the thing more mature as you go. So now we start seeing the first versions of investment information and you know, we kind of go after that. That's a feasibility level study.



Joe Staib - 26:35

This would be more of a scale level study where the thing starts to get more and more investment information. And then we're now we're in the sustained mode and we're saying, hey, like we told you we'd build this for \$4 million. It actually took 3, 3.8. We're on track there. But you guys didn't put people in there. So the pro forma changed because your top line revenue number didn't work. Because you guys didn't. You guys were a year behind on loading the place up. Here's your pue trend, blah, blah, all the, you know, the gory details. But this is all on behalf of the owner and the C suite, not necessarily the operations people. And then once you get a bunch of assets, that so 1, 2, 3, 4, it's, it gets more mature, more confident as you go. And that's one building.



Joe Staib - 27:30

So there's this record that just gets wider and deeper and more confident as you do more and more work. So you can enter at any point that you want in that journey, ranging from a free desktop all the way to a very detailed investment grade audit. Then when you have a bunch of buildings in there, you start to look at it as a portfolio and where your investments are and how do you allocate capital across the portfolio. So flyby on what we've been up to in terms of what we can do to. I think we could support either one of those paths, Michael, using that tool

because it's built to be flexible for who we are and how we think.



Joe Staib - 28:15

But we're trying to, what we're trying to do is take our technical stuff and overlay that financial piece to ultimately get to a posture on the building. Yep.



Michael Byers-Norton - 28:26

And that's the hardest part, that.



Joe Staib - 28:28

Like somebody's got to make the call and you've probably had to give all that information to a million stakeholders. Like I would do this. What is this? Modernize, optimize, divest, you know, expand that AI. Like what's the call for the building?



Michael Byers-Norton - 28:47

The fact that you're hitting ebitda out the gate like you're speaking the right language for that executive class early and then your sustain actually helps translate that to reality of delivery, which gives them the tools to put pressure on their delivery teams and their operations engineering teams. So I like the approach big time and like the only thing that triggered in my mind besides, yeah, those are, that's powerful. That fits very heavily into what we're talking about from a portfolio run and a site level run for different cards to play. So let Tucker and I digest some of that and then probably ask a lot more questions or get more details from you. When do you help or how do you help people who are incompetent?



Michael Byers-Norton - 29:24

So like a carrier who's running an edge site, who doesn't know how much power they have, who has just been kind of running as an ops team, who might not know the physical and engineering limits of what the building can handle. Like, does that fall into this program or is that still a separate enabled product that you're providing?



Joe Staib - 29:42

Are you asking about network now or are you asking about building? Like, no.



Michael Byers-Norton - 29:45

So if somebody gives me a 50,000 square foot building, they're only using 400 kilowatts and it's a day. They think they have a 12,4 feed to the site, but they don't really know help. And I, me as an investor, I care about knowing how much additional power I can put into the site without jeopardizing that 400kW workload. I think we have to fly out there and poke at stuff, right? Like we have to go look at the panels and look at the wires and do more of an engineering assessment if they don't have that data in house today.



Joe Staib - 30:13

So we'll ask them a handful of questions on the desktop audit and just get the record set up and it's going to say, you know, plus or minus 50% here. We don't know. I wouldn't make a bet on it, but it seems like this. Then we say put it for a fee. Let's go and do Sprint. So move from screener to Sprint. Then we go out there, we look at it and we make the record deeper and wider at that point. And so if that's the ask, like we would probably still want to get the basic information and the, you know, in 60 to 90 minutes on the screener. We, we're set up and now we're ready to go do better analyses out in the field when we're there.



Michael Byers-Norton - 30:54

So we're doing the exact same thing on that screener piece, like early on. Not exact same, but same concept of quick, efficient, give us the plan, know the assets worth moving to the deeper phase.



Joe Staib - 31:06

Right.



Michael Byers-Norton - 31:06

I don't know if I'm using the vocabulary right. But that second phase is one I think we would if we had that for a. Pitching a portfolio like so 200 site type of bulk approach.



Leo O'Loughlin - 31:16

Right.



Michael Byers-Norton - 31:17

Or if we had it for 12 sites we're going after, it's still very valuable for each. Like how far away from you from having a budgetary number for that cost for that second phase?



Joe Staib - 31:27

Well, the budgetary. So the thing that we're being really deliberate about right now Michael is according to like the national standards for estimating there's five classes of budget. So you can get class five, which is handwave down to class one, which is absolutely investment grade readiness. So budget climbs the scale and the tolerance and confidence with that budget are attendant to the loose class, to the tight class. So the question back to you is like what level of budget are you expecting? Because that's gonna drive. Do you, do you go to step two or do you actually need. Are you really asking for something that's investment grade where you need to go to step three and get a hold of lot more information, spend a whole lot more time than you would if you're, you know, in stage two.



Michael Byers-Norton - 32:25

So I look at it, so I always call it the budgetary deferring process. So I definitely need to learn that same language for the national, you know, standards for that. But for like what I'm looking at, I need to budget more from your costs to do the service for phase two.



Joe Staib - 32:39

Yeah.



Michael Byers-Norton - 32:40

And then my goal in my mind is if we do the strategic assessments, you know, scan through this huge ass number of sites to find the ones that get us excited. Yeah, those are the ones. Then we want you to be semi excited about assuming phase one, phase two goes well. We're not just killing the project there because our all of our collective goals should be to kill them fast. Find the best ones to go after.

Joe Staib - 33:00



That's right.



Michael Byers-Norton - 33:01

Then carve off X number of sites for our special purpose vehicle, our own and operating solution and make sure I have investors ready to run there. And then that's going to need to go through stage four because we care. And then the other portfolio won't. They don't want you to spend that money, they just want you to get out.



Joe Staib - 33:19

Yeah, yeah.



Michael Byers-Norton - 33:20

So it's like if you have like a rough number of like 50 grand, 25 grand, like throw whatever numbers there. Because I'm just trying to put together rough order magnitude budgets for my investors because they're just trying to do their back and acting math right now of damn, if it's costing \$6 million. Put together the program, we can sell these bundles of sites for, you know, 100 million twice a year, make 6 million profit on each of those. Is the ROI worth it? Like they're thinking that way right now from a divestiture play. Whereas we're, Tucker and I are going down the more pedantic route of like, no, we're going to own and operate this. Who do we pull in? What pre lease rate do we need to charge? What credit do we need from them?



Michael Byers-Norton - 33:57

Because we have a line of demand right now for 2 to 5 megawatt sites. Like, there's a lot of people begging for that capacity in general right now. And that's kind of where the lines are starting to cross from a. You can enable capacity. We know how to enable the commercials. Let's tape those together and start running those two directions.



Joe Staib - 34:15

Yeah, I would say, I mean we would be comfortable on that. That's the sprint level at like 50k and then at the next level at 100k. Those are comfortable numbers. If you, if you can make those work, that would be great. If we, if you're starting to talk about scale, you know, we can improve that for sure. But if it's, I mean, if it's kind of a, you know, start there if you can, Michael. If the pro forma works there, that, that puts us in a good spot and allows us

to. Because what you're, I think the wild card that you're, that we're not really talking about here is scale 100 and that's what. So, so if you're trying to go at scale, it's like, oh man. Just like you said. Oh, they're serious. Holy cow. Gulp.



Joe Staib - 35:04

How am I going to get all this done? Like, we have to start thinking about. It's just, I mean, I'm not wearing a green shirt today, but our colors are green. It's like, it's not just going to be green shirts doing this stuff. We're going to have to call some friends and family to come in and they're, they're going to be at.



Michael Byers-Norton - 35:20

Retail rates for us and that's fully expected because we're dealing with the exact same problem, like how much can. Because we have to do our own scaling on that same review. And yeah, we're gotten to the point where we can handle a dozen sites at a time without too much bloodshed. And Tucker and I are working aggressively to make that more efficient on the front end. Yeah, it gets to a certain limit. Like there's only so far we can push it.



Joe Staib - 35:42

So. Yeah, well. And at the end of the day, there's. I mean SME is a. Is a real thing. You have to have subject matter expertise that like you can't. I mean the systems can do a lot of this if you can automate some of the stuff that's in here, but you can't do it all. And so at some point there's still some. Some pieces that we. We're gonna have to have some of us like slow down, think about and like so that kind of thing. So we would have to go to our trusted network there.



Michael Byers-Norton - 36:12

That's not.



Joe Staib - 36:13

That's not a deep network of people that have been doing all of this stuff for a long period of time that are, you know, independent and available and then red hot market.



Michael Byers-Norton - 36:23

And that's why like for the sites are going further on the path is a small number of sites. Like we can't go crazy. We know if we have one or two of those succeed, then the doors will open which should line up with our abilities collectively to. To prepare for that scale and just make sure that's the limiting factor of how far we go. If capital is not the problem, demand's not the problem, then it is our ability to maintain brand and performance.



Joe Staib - 36:45

Item.



Michael Byers-Norton - 36:46

Yeah, 100% the last item. I know we're over. How can we crack our way back into Lumen and Verizon? Because that is strictly the relationships that you guys own at the moment. And I want to keep it in that dynamic. And if it doesn't fit, let us know. We can start doing our own magic to try to get in front of those groups. But trying to get back to where were with Lumen a year ago, where they're needing help reviewing assets per market for their own strategic divestitures or densification plays. Yeah, we want to reopen that door and are preparing our resources to lean in to help that get done. Getting back to the raise of how much I need to cover enables cost per site.



Michael Byers-Norton - 37:23

Is there a path there from your guys's current read to try to re engage with Lumen and Verizon or is that. I don't need to put you on the button here on the call. But that is what I'm going to be pressing for. Just guidance wise.



Joe Staib - 37:34

Yeah, I think they've had a little change in leadership over at Lumen that we're navigating right now. But what I would suggest there is that we need to have kind of the value prop that we're like really maybe evolved from where it was in the meeting with Kevin Music and Larae at that point. I think if, and then we'd probably have access to a very high level guy in Verizon as well. But again, we would need to have a very well thought out like this is what we're proposing to. I think we need to probably elevate beyond Kevin Music, who was enamored with what you told him during that call. Michael. I think we'd have to go to L or higher.



Joe Staib - 38:26

I, I, that said, I do, I really think that they would be interested in doing this because Lumen, they are trying to drive their costs down and a big part of that is through divestiture and they've overtly said that some of those mass market sites are not, that's not part of the long term play for them. The long term play for Lumen is the, is the network.



Michael Byers-Norton - 38:50

Yes. And that's why I think this is such a limited opportunity for us because they're ATT went through this, what, 30 years ago, where they went from being the number one real estate owner in North America to only none like this. This shift is happening again as we're seeing with these edge sites. So it's, and that's where we're trying to be prepared to help navigate that if they need to stay live in the site and make sure we have the resources to do that because that's not, that's complex and a lot of, you know, human brain damage on it.



Joe Staib - 39:19

Yeah.



Michael Byers-Norton - 39:20

So, but it's a, I think I was pretty understanding a paper.



Joe Staib - 39:26

Or something to send to them or, you know, something that we, you know, can compel them and then call for a call, so to speak. Is what I would say is let's, let's get our thoughts committed to paper and then we can go press those conversations.



Michael Byers-Norton - 39:44

Okay, perfect. I'm putting ideas down on that right now that you guys are just triggered.



Joe Staib - 39:48

So you're not done yet. I mean, come on.



Michael Byers-Norton - 39:51

Yeah, it's a, well, I've been thinking about this heavily because like went back and looked at that previous pitch. And it was like, let us help yourself.

 Joe Staib - 39:59

That's right.

 Michael Byers-Norton - 40:00

And they're not interested in an extra 50 million a month of revenue because it doesn't move the operator's needles. Wrong team, wrong frame. Just like we're dealing with Flex Central. They don't care about fiber. They know it's a problem, but it ain't my problem. You know, it's. It's somebody else's in the org's problem. And if we can craft that message, like we'd love to bring that back to you to see if it fits right. And I'm planting the seed, I think hopefully here now to you'll be keeping a pulse on how you navigate those, you know, resources to be ready for that opportunity. But let us put that together and start nudging it aggressively here because it's a. The market's here and we're technically a step ahead right now. But it's, you know, we're not brilliant. Like there's other people chasing the same capacity.

 Michael Byers-Norton - 40:42

Especially as community pushback gets extreme for data centers. These are already entitled power to connected like it's going to be a valuable asset. So it's exciting.

 Joe Staib - 40:52

Yeah. Wow. Well said. Yeah, that's exciting. I mean, I. I gotta jump 11 minutes late from. Yeah, same.

 Michael Byers-Norton - 41:02

And push my teammate off.

 Joe Staib - 41:03

Here's my hands of it. Should we just kind of connect electronically on the dock or whatever and then we can. We can push it through those two.



Michael Byers-Norton - 41:15

Or no, let us talk about. Take a stab at it. Put that together so we can all review it internally and make sure it smells right. Like the four of us together.



Joe Staib - 41:23

Sounds good.



Michael Byers-Norton - 41:23

And then, you know, the pressure I'm gonna put on you from a pricing perspective, because I do want this to be a synergy with Vinny Both's core business right now too, beyond the ability for us to be creative. And then, yeah, we're gonna keep focusing one of those real steps we have to do, which is getting control sites next and putting our resources there to help navigate that together. So to do it.



Joe Staib - 41:43

But okay.



Michael Byers-Norton - 41:44

But definitely appreciate you running late. And really, Leo, next time you're in town, we all go get dinner because Tucker's here in Denver with us. So definitely something we gotta do.



Leo O'Loughlin - 41:52

I'm coming in a few weeks. We have a BD team reconnect.



Joe Staib - 41:59

So I'll.



Leo O'Loughlin - 41:59

I'll. Let me. Let me make that happen.



Michael Byers-Norton - 42:03

If you're not exhausted, we'll definitely get out and connect.



Leo O'Loughlin - 42:05

But yeah, the afternoon before, maybe we could all run out and grab dinner or something.



Michael Byers-Norton - 42:11

That'd be massive. It would be great to see you guys again. That so thank you so much. Really appreciate your time.



Joe Staib - 42:16

All right. Thanks.



Leo O'Loughlin - 42:17

Thank you.



Joe Staib - 42:18

Appreciate it.